

‘The ancient Romans were used to being defeated. Like the rulers of history’s great empires, they could lose battle after battle but still win the war. An empire that cannot sustain a blow and remain standing is not really an empire.’

—Yuval Noah Harari, *Sapiens: A Brief History of Humankind* (2011)¹²

Many historians are of the view that the ‘greatness’ of a kingdom or an empire should be measured by its longevity. How long did the empire last? How durable was it? By this measure the first great empire was arguably the Persian Empire. Founded around 550 BC, it lasted for around 200 years until Alexander the Great’s rise in 330 BC after defeating King Darius III.

However, if longevity is the measure of a great empire, then the Roman Empire is possibly the greatest empire the world has ever seen. Whilst the first Roman republic, headquartered in Rome, lasted from 100 BC to 400 AD, the imperial successor to the Republic lasted for a staggering 1400 years before falling to the Ottoman Turks in 1453. So ubiquitous is the influence of this empire that the language in which we are writing this book, the legal system which underpins the contract between the publisher and the authors of this book, the mathematical concept of compounding which underpins much of this book, all of them come more or less directly from the Roman Empire!

When it comes to investing in stock markets, greatness is defined as ‘the ability of a company to grow whilst sustaining its moats over long periods of time’. This then enables such great companies to sustain superior financial performance over several decades.

The Coffee Can philosophy of investing is built using the twin filters to identify great companies that have the DNA to sustain their competitive advantages over ten to twenty years (or longer). This is because ‘greatness’, which the Coffee Can Portfolio seeks, is not temporary and definitely not a short-term phenomenon. Greatness does not change from one quarterly result to another. In fact, great companies can endure difficult economic conditions. Their growth is not beholden to domestic or global growth—they thrive in